

Westhampton, MA Finance Committee Meeting Minutes
Westhampton Town Hall

April 10, 2024

Meeting called to order at 7:03pm

In attendance: FinCom members; Stephen Holt, Marilyn Witherell, Tad Weiss (editor), Scott Stanton (taking notes), Richelle Hurd, Jeremy Durrin, Carla Lussier, and Jennifer Milikowsky

Also in attendance: Ian Stith, Susan Bronstein, Andrea McGrath, Mary Jane Rickson, Peter Cleary, Julia Kennen, Morley Cleary, Mary Cleary, Mickey Buhl

Meeting began with McGrath presenting an overview of Westhampton Elementary School (WES) including enrollment, staffing, School Choice, significant grants, explanation of budget increase requests, future savings, future financial challenges, and future capital needs. (*see attachment*)

General (McGrath)

Overall, this budget is a **level service budget** compared to last year, there are no new programs added to it, and only minor staff changes. WES has no control over fixed costs for transportation or increased costs of energy.

Enrollment is down to 105 for the 23-24 school year, projected to be 113 next year. Most classes have 1 Teacher and 1 Paraprofessional (Para), but some have 2 Para's.

Six students are currently Choice-Out of WES. 3 of them are from a single family who recently moved from Williamsburg and want to finish there. The other 3 are unknown as to why they are choosing out of district schools. A quick explanation of the money involved in school choice-out is that it covers all of the tuition to another public school including charter schools. Each student-out costs us \$5,000 plus the calculated costs of the student's Individualized Education Program (IEP). Choice-out Charter school student can cost us \$12-\$13,000.

32% of students have IEPs for academic, speech, OT, PT, or social needs. One out of district student with an IEP staying out of district and 6 total out of district students. There is a plan to use resources more efficiently next year including a restructuring of the daily schedule to allow for more effective use of the Special Education staff which will carry no additional financial requirements. The speech and language pathologist has a very large caseload, and a part-time or full-time behaviorist may be needed in the future to supplement the increase.

Budget includes two staffing changes, a school adjustment counselor increasing from .9->1.0, and the addition of a part time custodian during the day. Custodial hours have not been fixed yet. Class trip costs increased because of bus costs.

The teachers selected a new English language program last year for ~\$12k to replace the previous one. Recurring costs for teaching certain existing programs have increased as expected.

There is one teacher retiring this year at the top of the pay scale which may allow extra staff at lower pay rates next year. Changes to staff salaries include step increases, new negotiated salaries, and COLA. The same staff that was budgeted at \$1.65M in FY24 was budgeted at \$1.42M in FY23 - so there was something missing about how the budget was calculated last year. This year we are including all expended money regardless of whether it will be reimbursed by other sources of income. Staff salaries are going up a total of 2.25%, but the new calculation methods show that it is only increasing by 1.73%.

There were 300 absences last year for staff which are sometimes covered by Para's, but they can't always because of IEP needs. This results in an increase in the need for substitutes.

Revenue to the budget includes the usual sources - Circuit breaker, SPED IDEA 240, Rural Aide, School Choice and Preschool. The school applied for a rural aide grant for \$35k which they are hoping to use for the increased maintenance needs on the school. Rickson writes many of the grants and does research for new opportunities.

There is additional money requested for building and grounds based on the age of the building and equipment within it. The furnace will need long delayed maintenance.

Future budget needs – Future wish list budget items include hiring a Behaviorist and a Speech and Language Pathologist. While the following is a list of maintenance and capital items that await action:

- FOB system for front and back doors
- Replace gym / cafeteria floors
- Paint halls and common area
- Fuel Gauge Repair
- Repair cover for fuel tank

Summary of key WES budget increases (McGrath)

- Central Office (+\$22,047) – Town share of increases to fix accounting problems in central office. A combination of permanent and temporary increases.
- Staff Salaries (+\$28,525) – contractual and step increases.
- New Part Time Custodian (+\$20,000) – Day-position will be half-time or less. Currently being covered by McGrath.
- Adjustment Councilor (+\$31,660) - .4 position was paid by ESSER II grant but that has ended. Remaining .5 of position was paid for by the town. Request that town funds the ESSER II shortfall. Also would like to add .1 and make it a full-time position.
- Building & Grounds (+\$10,000) - building is aging and some infrastructure will need either maintenance or replacement soon.

- Substitutes (+\$5,000) – Substitute staffing costs over the last year were higher than expected.
- Electrical costs (+\$8,200) - A broker already being used for the negotiation of the Electrical generation. Costs will go down at the high school (HS) but up at WES because lower rates are already in place at WES. The increase is a result of a lower rate going up, whereas at the HS it is a higher rate coming down. Part of the increase is also getting used to the new mini-split heating systems including the addition of air-conditioning.
- Fuel (+\$5,000) – negotiated rate increase.

Three Options To Fund the Budget Shortfall (Buhl, Weiss)

There were three options proposed at the meeting as a means of balancing the budget: Scenario 1, Scenario 2 and Scenario 3. (*see attachment*) The school administration and School Board did *not* come to the meeting having voted on which one to go with. They looked to FinCom for guidance and await our opinion before voting their final budget plan in about 2 weeks. The spending and grant side of the budgets are identical in all three. Where they differ is in how much is taken from the School Choice Revolving Fund to pay for an approximate \$75,000 hole in the budget.

- Scenario 1: Westhampton's assessment is an increase of \$56k over FY24. WES would have to use \$75k from their School Choice Revolving Fund to balance the budget.
- Scenario 2: Westhampton's assessment is $\$56k + \$75k = \$131k$. There would be *no money taken* from the Revolving Fund. The Town of Westhampton would fund the \$131k.
- Scenario 3: Westhampton's assessment is $\$131k + \$35k = \$166k$. There would be an additional \$35k *added* to the Revolving Fund. The Town of Westhampton would fund the \$166k.

This conversation evolved into a discussion of the Revolving Fund, how it is funded, used, and what targets, if any, govern it. Below are talking points that arose, some from Buhl.

Revolving Fund (Buhl)

School Choice Revolving Fund bankrolls "Choice" money coming in and out of the school. In FY23 it grew \$25,201 to \$391,034. A single high-needs Choice student entering WES could require between \$100-\$150,000. That unanticipated financial burden would fall on this same Revolving Fund. There is no legal limit on the amount that can be in the revolving fund for school of choice. Minimum balance, rule of thumb is 1.5x the anticipated school choice revenue. For FY23 with revenue of \$148,536, that would be a minimum of \$222,000. There was concern expressed that using the School Choice Revolving Fund could leave a financial hole not easily filled in future years.

Last year there was a \$150k increase in the special ed budget from a Choice-in student that was covered by the reserve fund last year. It will be present again this year but not next year as that student will move to 7th grade, HRHS next year.

Because the HRHS Westhampton budget assessment is *negative* this year, Buhl suggested this may be a good year to add to the WES revolving fund – which scenario's 2 and 3 would likely do. Scenario 2 would likely grow it with the difference between annual revenue and expenditures of the revolving fund netting about \$25k. Scenario 3 would grow it the same \$25k plus an additional \$35k. These savings could be a buffer against unknown increases at the HS next year.

Under scenarios 2 and 3, \$75k not being spent could keep a teacher who isn't in the budget for another year. \$75k would be about 20% of the reserve fund.

Under scenario 3, \$35k could pay to hire an emergency Para if necessary. It is spending not in the budget but would be savings.

Several times we came back to the fact that a single Choice-in high-needs student could cost the school half its revolving fund savings. Two students could wipe it out completely, despite upwards of 30% being reimbursed by the state the following year. The money would have to be found for the current year expenditure.

Although much smaller, two other revolving funds were briefly reviewed at the meeting; Preschool Revolving Fund with about \$76,000 and the Cafeteria Revolving Fund with \$42,000.

Comments on Spending in Westhampton on Education: (Weiss)

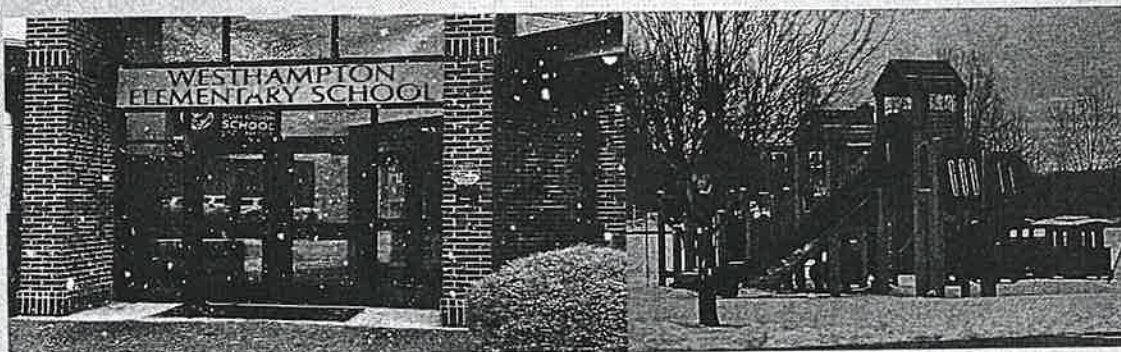
Out of 78 towns in the 3-county region, Westhampton has the 7th highest spend per capita for education (K-12). *[Ed note: we have the 9th highest % of our operating budget devoted to education at 60.4%]* This data comes from the mass.gov website.

Because our school is small, it is expensive. Many small schools have higher costs per student. *[Ed note: In 2022, of the 21 PK (or K) - 6 grade schools across the state with fewer than 150 students, Westhampton had the 8th highest Total Expenditure per Pupil at \$24,482. Williamsburg was \$21,235. Chesterfield-Goshen was \$19,581.]* Westhampton has a long tradition of supporting strong local education, but it is expensive, and that burden is felt by taxpayers.

The discussion was left with FinCom pledging to meet next week where we would continue to discuss the three scenarios, and hopefully reach consensus.

Meeting minutes from 3/27/24 were approved by a vote **7-0-1**

Motion to adjourn at 9:15pm passed **8-0-0**



WESTHAMPTON ELEMENTARY SCHOOL FY25 PRELIMINARY BUDGET

1

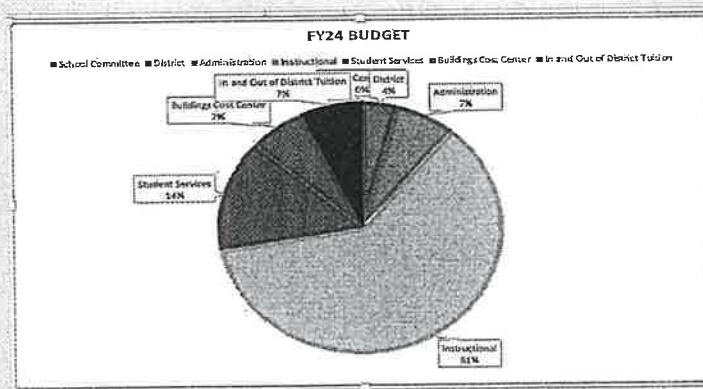
72% staffing budget

"level service funded"

New

.9 → 1.0 P/T adjust cancells
adding P/T janitors - days

FY 2023-2024 BUDGET PERCENTAGES



2

ENROLLMENT DATA

Year	17-18	18-19	19-20	20-21	21-22	22-23	23-24
Number of Students	122	<u>124</u>	121	111	108	106	<u>105</u>



3

CURRENT ENROLLMENT

CLASS	NUMBER OF STUDENTS	STAFFING
Preschool	15	1 Teacher and 2 Paraprofessionals
Kindergarten	7	1 Teacher and 2 Paraprofessional, .4FTE (M & Tu) and 1 FTE
First Grade	17	1 Teacher and 1 Paraprofessional
Second Grade	14	1 Teacher and 1 Paraprofessional
Third Grade	11	1 Teacher and 1 Paraprofessional
Fourth Grade	15	1 Teacher and 2 Paraprofessionals
Fifth Grade	15	1 Teacher and 1 Paraprofessional
Sixth Grade	<u>11</u>	1 Teacher
Total	<u>105</u>	8 Teachers and 9.4 Paraprofessionals

4

Prob. low need w/ 1-student

PROJECTED ENROLLMENT & STAFFING 2024-2025

Class	Number of Students	Staffing
Preschool	19 projected	1 Teacher and 2 Paraprofessionals
Kindergarten	11	1 Teacher and 1.4 Paraprofessionals
First Grade	10	1 Teacher and 1 Paraprofessional
Second Grade	17	1 Teacher and 1 Paraprofessional
Third Grade	14	1 Teacher and 1 Paraprofessional
Fourth Grade	12	1 Teacher and 1 Paraprofessional
Fifth Grade	15	1 Teacher and 2 Paraprofessionals
Sixth Grade	15	1 Teacher and 1 Paraprofessional
Total	113 projected with preschool	8 Teachers and 9 Paraprofessionals

5

SCHOOL CHOICE INFORMATION 2023-2024

Grade	Choice Location	Number of Students Out
Preschool	New Hingham Regional Elementary	1
Kindergarten	Anne T. Dunphy School	1
First Grade	New Hingham Regional Elementary	1
Second Grade	Hilltown Cooperative Charter Public	1
Third Grade	None	0
Fourth Grade	Hatfield Elementary School	1
Fifth Grade	New Hingham Regional Elementary	1
Sixth Grade	None	0
Total		6

cost

\$5000/student

ex. charter school = full tuition

Some family

6

*Rev in
\$5000*

SCHOOL CHOICE DATA FOR FY25

Grade	2023-2024 Class Size	2023-2024 School Choice Students	Anticipated 2024- 2025 Class Size	Additional Slots for 2024-2025	Total School Choice Slots 2024- 2025
Preschool	15	X	Unknown 2/9/24	n/a	n/a
Kindergarten	7	2	10 (census data)	+1	1
First Grade	17	0	10	+3	5 (2 existing and 3 new)
Second Grade	14	3	17	0	0
Third Grade	11	2	14	0	3
Fourth Grade	15	3	12	0	2
Fifth Grade	15	3	15	0	3
Sixth Grade	11	3	15	0	3
Total	105	16	91	+4	17

7

FY24 REVENUE/GRANTS

Grant Name	Amount
Title II (Supporting Effective Instruction)	\$1,375.00
Rural Aide	\$35,000
	Total: \$36,375.00
Revolving Funds	Amount
School Choice	\$386,000
Preschool	\$86,000
	Total: \$492,000

8

REQUESTS/NEEDS FY24-25

Budget Item	Reason	Increase/Decrease
1.0 FTE School Adjustment Counselor	.9 FTE exist in FY24 need budget increase to 1.0 FTE for FY25 due to students' need and IEP goals)	FY 24: \$60,552 cost but .40FTE funded by ESSER II \$22,240.80 and town funded \$38,311.20 (ESSER II funds no longer available) FY 25: \$69,972 expenditure need additional \$31,660.80 approx. 45% increase
Staff Salaries	2.25% contractual increase	FY 24: \$1,648,238 FY 25: \$1,676,764 (\$28,525/contracted increase 1.73%)
Part-Time Custodian INITIAL REQUEST	Maintenance of Building and Equipment During the Day (Under 20 Hours & Schedule TBD)	FY 25: \$20,000
Out of District Student	Legally Required	FY 24: \$149,875 FY 25: \$164,863 (\$14,988 10% increase)
Building and Grounds	Increase electric use and age of existing equipment	FY 24: \$106,284 FY 25: \$133,681 (\$27,397 25.78% increase)

9

REQUESTS/NEEDS FY24-25

Budget Item	Reason	Increase/Decrease
Transportation Regular ED	Contracted Cost Increase	FY 24 Regular ED \$104,590 FY 25 Regular ED \$109,820 (\$5,320 5% increase)
SPED	Contracted Cost Increase	FY 24 \$45,580 FY 25 SPED \$47,859 (\$2,279 5% increase)
Substitutes	Reflect true absentee rate of staff	FY 24 \$7,500 FY 25 \$12,500 (\$5,000 66% increase)
Class Trips	Reflect Increased Costs	FY 24 \$1,500 FY 25 \$3,000 (\$1,500 +100% Increase)

10

ESTIMATED SAVINGS/OPTIONS FOR REALLOCATIONS

- Retirement at top of teachers pay scale (1) (2)
- Use 2023-2024 Rural Aid to purchase consumables and address maintenance related issues
- Revolving Funds/Grants: Circuit Breaker, SPED IDEA 240 Grant, Rural Aid, School Choice and Preschool

11

CHANGES AND/OR CHALLENGES FOR FUTURE

- Restructure daily schedule to allow for more effective use of Special Education and interventionist staff-no financial implication
- Growing caseload of Speech and Language Pathologist currently approaching 30: Is there a need to hire another part-time or full-time Speech & Language Pathologist?-new position and salary *next year?*
- Hire a behaviorist part-time or full-time for more complex students that need specific support around behavior and train staff how to better support these students-new position and salary

12

FUTURE CAPITAL PROJECTS

- Key card/fob system for front and back doors \$10K
- Replace gym and cafeteria floors
- Paint halls and common area \$4-5K
- Fuel Gauge Repair
- Repair cover for fuel tank

13

QUESTIONS

14

Scenarios to Westhampton Finance Committee

Scenario 1

Budget shared with Finance Committee

Budget

	FY24 Approved	FY25 Proposed	\$ change FY24	% change FY24
Total Budget	2,375,837	2,511,814	135,977	5.72%
Total Non-Town Revenue	301,889	381,516	79,627	26.38%
Town Contribution	2,073,948	2,130,298	56,350	2.72%

Town Assessments - both schools

Source	FY24 Approved	FY25 Proposed	\$ change	% change
Elementary School	2,073,948	2,130,298	56,350	2.72%
Hampshire Regional Operating	1,615,023	1,605,241	-9,782	-0.61%
Combined	3,688,971	3,735,539	46,568	1.26%

Scenario 2

Don't use school choice reserve funds

Budget

\$75,000 less from SC revolving. Use only FY25 SC tuition

	FY24 Approved	FY25 Proposed	\$ change FY24	% change FY24
Total Budget	2,375,837	2,511,814	135,977	5.72%
Total Non-Town Revenue	301,889	306,516	4,627	1.53%
Town Contribution	2,073,948	2,205,298	131,350	6.33%

Town Assessment

Source	FY24 Approved	FY25 Proposed	\$ change	% change
Elementary School	2,073,948	2,205,298	131,350	6.33%
Hampshire Regional Operating	1,615,023	1,605,241	-9,782	-0.61%
Combined	3,688,971	3,810,539	121,568	3.30%

Scenario 3

Add to the School Choice Reserve Fund

Budget

\$110,000 less from SC revolving. ADD \$35,000 to reserve fund

	FY24 Approved	FY25 Proposed	\$ change FY24	% change FY24
Total Budget	2,375,837	2,511,814	135,977	5.72%
Total Non-Town Revenue	301,889	271,516	-30,373	-10.06%
Town Contribution	2,073,948	2,239,865	165,917	8.00%

Town Assessment

Source	FY24 Approved	FY25 Proposed	\$ change	% change
Elementary School	2,073,948	2,239,865	165,917	8.00%
Hampshire Regional Operating	1,615,023	1,605,241	-9,782	-0.61%
Combined	3,688,971	3,845,106	156,135	4.23%

Westhampton Elementary School FY25 Budget Recap

Last Updated 4/2/24

Budget

Total Budget

FY23 Approved	FY24 Approved	FY25 Proposed	\$ change FY24	% change FY24
2,023,069	2,375,837	2,511,814	135,977	5.72%

Non-Town Revenue Sources

Revolving Funds From School Committee

	<u>FY23 Approved</u>	<u>FY24 Approved</u>	<u>FY25 Proposed</u>	<u>\$ change</u>	<u>% change</u>
School Choice Revolving fund - FY25 tuition in			136,516	136,516	
School Choice revolving fund - from reserves		150,000	75,000	-75,000	-50.00%
Preschool Revolving Fund		20,000	25,000	5,000	25.00%

Grant Funds

	<u>FY23 Approved</u>	<u>FY24 Approved</u>	<u>FY25 Proposed</u>	<u>\$ change</u>	<u>% change</u>
ESSER 2		45,000		-45,000	-100.00%
Circuit Breaker		57,000	70,000	13,000	22.81%
SPED IDEA 240 grant		6,889	15,000	8,111	117.74%
Rural Aid		23,000	30,000	7,000	30.43%
REAP grant			30,000	30,000	

TOTAL NON-TOWN REVENUE

0 301,889 381,516 79,627 26.38%

TOWN CONTRIBUTION

2,023,069 2,073,948 2,130,298 56,350 2.72%

Westhampton Elementary School FY25 Budget

Expenditures

Last Updated 4/2/24

Cat #	Expense Category	FY23 Approved	FY24 Approved	FY25 Proposed	\$ change from FY24	% change from FY24
1	School Committee	2,800	7,400	8,800	1,400	18.92%
2	Central Office	86,649	93,983	116,030	22,047	23.46%
3	Administration	127,491	127,850	128,459	609	0.48%
4	Staff Salaries	1,447,224	1,673,040	1,731,597	58,557	3.50%
5	Instructional non-salary	38,650	38,650	41,400	2,750	7.12%
6	Student Services	16,585	16,585	16,585	0	0.00%
7	Buildings & Grounds	101,000	106,284	133,681	27,397	25.78%
8	Transportation	141,670	150,170	157,679	7,509	5.00%
9	Tuition	61,000	161,875	177,583	15,708	9.70%
	TOTAL	2,023,069	2,375,837	2,511,814	135,977	5.72%

On Town Budget - not on school budget

10	State Assessments	72,077	48,428	51,633	3,205	6.62%
----	-------------------	--------	--------	--------	-------	-------

Line #	Description	FY23 Approved	FY24 Approved	FY25 Proposed	\$ change	% change
1	SCH COMM ADVERTISING	900	900	900	0	0.00%
2	SCH COMM OTHER/NEG.	1,900	1,900	1,900	0	0.00%
3	SCH COMM - LEGAL	0	4,600	6,000	1,400	30.43%
4	School Committee	2,800	7,400	8,800	1,400	18.92%
5	Central Office Core costs (WES share)	86,649	93,983	102,173	8,190	8.71%
6	Central Office TEMP costs (WES share)			13,857	13,857	
7	Central Office	86,649	93,983	116,030	22,047	23.46%
8	PRINCIPAL PROFESSIONAL	115,041	115,400	114,009	-1,391	-1.21%
9	Stipend - SC recording Secretary			2,000	2,000	
10	CONTRACT SERVICES	6,000	6,000	6,000	0	0.00%
11	PRINCIPAL CONTRACT OTHER	2,000	2,000	2,000	0	0.00%
12	OTHER EXPENSES	4,450	4,450	4,450	0	0.00%
13	Administration	127,491	127,850	128,459	609	0.48%
14	Staff salaries	1,422,023	1,648,239	1,676,764	28,525	1.73%
15	Part Time Custodian (Less than half time)			20,000		
16	Longevity			4,600	4,600	
17	Substitutes	7,500	7,500	12,500	5,000	66.67%
18	PHYSICIAN	400	0	0	0	
19	FOOD SERVICE SALARY	17,301	17,301	17,734	433	2.50%
20	Staff salaries	1,447,224	1,673,040	1,731,597	58,557	3.50%
21	PROF DEV/OTHER	6,000	6,000	6,000	0	0.00%
22	TEXTBOOKS and CONSUMABLES (Name Change)	2,500	2,500	2,500	0	0.00%
23	OTHER INSTRUCTIONAL MATERIALS (LIBRARIES)	0	0	0	0	
24	SPED AUDIO VISUAL AIDS	150	150	150	0	0.00%
25	SPED CLASS SUPPLIES	300	300	300	0	0.00%
26	LIBRARY SUPPLIES	750	750	2,000	1,250	166.67%
27	AUDIO VISUAL SUPPLIES	950	950	950	0	0.00%

28	CLASS EQUIPMENT	1,500	1,500	1,500	0	0.00%
29	GENERAL CLASS SUPPLIES	18,500	18,500	18,500	0	0.00%
30	CLASS TRIPS	1,500	1,500	3,000	1,500	100.00%
31	TECHNOLOGY CONTRACT	6,500	6,500	6,500	0	0.00%
32	Instructional non-salary	38,650	38,650	41,400	2,750	7.12%
33	SPED CONTRACT SERVICES	15,100	15,100	15,100	0	0.00%
34	HEALTH SUPPLIES	900	900	900	0	0.00%
35	HEALTH OTH EXP	585	585	585	0	0.00%
36	Student Services	16,585	16,585	16,585	0	0.00%
37	TRANSPORTATION REG	98,670	104,590	109,820	5,230	5.00%
38	SPED TRANS	43,000	45,580	47,859	2,279	5.00%
39	Transportation	141,670	150,170	157,679	7,509	5.00%
40	CUSTODIAL SUPPLIES	6,500	7,000	7,500	500	7.14%
41	ELECTRIC	<u>23,000</u>	<u>25,300</u>	<u>33,500</u>	<u>8,200</u>	32.41%
42	FUEL	25,000	25,000	30,000	5,000	20.00%
43	WATER TEST	2,750	3,000	3,250	250	8.33%
44	TELEPHONE	11,500	12,075	13,725	1,650	13.66%
45	MOWING	4,000	4,180	4,400	220	5.26%
46	RUBBISH REMOVAL	4,500	4,703	4,725	23	0.48%
47	BOILER MAINT/TEMP CONTROL	10,000	10,450	11,450	1,000	9.57%
48	ALARM SYSTEM	750	784	1,000	216	27.59%
49	MISC	6,500	6,793	7,131	339	4.98%
50	MAINT OF EQUIPMENT	6,500	7,000	17,000	10,000	142.86%
51	Buildings & Grounds	101,000	106,284	133,681	27,397	25.78%
52	PROGRAMS IN DISTRICT	12,000	12,000	12,720	720	6.00%
53	PROGRAMS-OUT OF DISTRICT	49,000	149,875	164,863	14,988	10.00%
54	Tuition	61,000	161,875	177,583	15,708	9.70%
55	School Choice Sending Tuition	26,483	25,000	27,000	2,000	8.00%
56	Charter School Sending Tuition	45,594	23,428	24,633	1,205	5.14%
57	State Assessments	72,077	48,428	51,633	3,205	6.62%